



[Weekly Market Commentary](#)

Dear clients,

April ended with the total crypto market cap growing to over US\$3T from around \$2.8T the previous month. One of the more underappreciated headlines over the last week with potentially large ramifications for the crypto industry long-term was the withdrawal by the Federal Reserve, Federal Deposit Insurance Corporation (FDIC) and Office of the Comptroller of the Currency (OCC) of joint statements regarding bank-related crypto activity. Effectively, this continues the trend of unwinding onerous Operation Chokepoint 2.0 guidance and allows banks to do more in the crypto space without seeking prior approval. This coincides with financial institutions Charles Schwab and Morgan Stanley separately announcing plans to offer crypto trading to their respective clients within the next 12 months.

Looking ahead, the market is pricing in very low odds of the Fed cutting rates on May 7, though the implied probability (in Fed funds futures) of a 25bps cut in June stands at 56%. This follows the latest Bureau of Economic Analysis data that suggests that 1Q25 GDP growth contracted by -0.3% QoQ. With the onset of tariff announcements in early April, this could suggest a technical recession may be brewing. Meanwhile, the total value locked (TVL) in decentralized finance (DeFi) has started to pick up in recent weeks, ending April at \$102B, according to DeFiLlama.

Finally, the Pectra (Prague/Electra) upgrade is scheduled to go live on May 7 and should introduce some important upgrades to Ethereum, prioritizing the network's usability, scalability and staking efficiency. Separately, EIP-9698 was proposed by Ethereum researcher Dankrad Feist this week, which would raise Ethereum's gas limit from 36 million to 3.6 billion (100x) over four years, potentially boosting transaction throughput to 2,000 transactions per second.

[Read full report](#)

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

[Watch now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to the Weekly Market Commentary and want to be added to the list?

[Subscribe here →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2025 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland

www.coinbase.com

[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.